

2001—and more than the combined market capitalization erased by the bankruptcies of Lehman Brothers and General Motors during the financial crisis.”²⁷⁰

That sounds like a lot of money lost in a year, but the full story is much worse. At its peak market cap in August of 2000, GE was worth \$594 billion. Today, its three surviving parts are valued at about half of that, at ~\$300 billion. When that *WSJ* article was published, GE’s market capitalization had fallen nearly half a trillion dollars since its 2000 peak. It has since partly recovered—down *only* 50%—small comfort to those retirees who needed that money in the 2000s or 2010s.²⁷¹

Since GE’s 2000 peak, markets have done what they usually do over time—gone higher. Had you been in the S&P 500, your returns over the same 25 years when GE was cut in half were 473%, or 8% annualized; a basic 60/40 stock and bond portfolio would have returned 356%, or 7% annualized.²⁷²

GE’s crash was not caused by scandal, catastrophic economic conditions, or a market meltdown. It was, like so many companies before it, simply that GE’s time had passed. Professor Aswath Damodaran teaches corporate finance at the Stern School of Business at New York University. His book *The Corporate Life Cycle*²⁷³ describes the normal lifespan of all companies: They are born, they grow, they mature, they decline, and they die.

The list of once-dominant, household-name companies that faded from glory to obscurity is legion: Woolworths (1879–1997), Sears (1886–2024), IBM (1911–present), Kodak (1889–2012), General Motors (1908–2009), Blockbuster (1985–2010), Nokia (1864–2013), Toys “R” Us (1948–2017), BlackBerry (1984–2013), Polaroid (1937–2001), Pan Am (1927–1991), Borders (1971–2011), Compaq (1982–2002), Atari (1976–1993), Oldsmobile (1897–2004), Tower Records (1960–2004), Boeing (1916–?)—on and on the list goes.

What is noteworthy about GE’s collapse wasn’t that it was unique or special, but that it was so ordinary.